

General ISH (Ippan Shadan Hojin) Setup Information

Establishment Process:

- **Typical timeframe:** 2-4 weeks
- **Initial members:** 2 or more (can be reduced to 1 after establishment)
- **Notary certification:** Required for Articles of Incorporation

Two Types of ISH:

1. Complete non-profit type ISH:

- Prohibited from distributing dividends
- Residual assets distributed to public entities at dissolution
- 3+ directors without family relationships
- No past breaches of these requirements

2. Common benefit type ISH:

- Purpose: Pursuing common benefit among members
- Collects membership fees
- No profit-earning activities as primary business
- No special benefit provision to specific individuals/entities in past
- 3+ directors without family relationships

Initial Officers Requirements:

- **Normal ISH:** 1 initial director sufficient
- **For both ISH types:** At least 3 directors required
- **For KSH approval:** Board of directors (3+ directors) + 1 auditor needed from establishment

Key Documents:

- Articles of Incorporation
- Basic establishment documents only

After Establishment:

- Initial director confirms lawfulness of establishment
- Registration of establishment

Requirements for KSH Approval:

- ISH must be established first (unlike Approved NPO Hojin)
- No requirement for operation period as ISH (investigates future plans)
- 3-6 months for KSH authorization process
- Requires Public Support Test documents and member/director approvals